Capitalism and Gold

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The decade of the 'seventies has been characterised by radical and often dramatic changes in the sphere of international capitalist relations. Political changes apart, the period has seen a marked escalation in the price of oil, raging world inflation, recessions in all the world's leading industrial economies and an increasing tendency towards poverty and even bankruptcy in many countries of the so-called Third World. Running parallel with these developments has been the phenomenon of a massive rise in the gold price and, concomitant with this, an unprecedented resurgence of public interest in the metal.

The complex task of understanding these seemingly disparate phenomena and drawing out the links between them has been undertaken by many on the left, but often largely with a view to examining their implications for a particular country rather than examining their implications for the international capitalist system itself. In this article, I intend to try and explain some of the recent developments in the price of gold by reference to gold's historical role in the capitalist monetary system and by trying to understand the relation between the changing form of that system and the broader crises and pressures that are inherent in the world capitalist economy. Although this article will inevitably leave many key questions unanswered, I hope that the systematic presentation of the historical evolution of gold's role in the monetary system will contribute to the debate about the nature of the present world economic crisis and its effect on the monetary system.

The first section of the article will outline the classical Marxist theory of the various functions which money performs in the capitalist system. This exposition provides a theoretical basis for the subsequent historical discussion of the role gold came to

play in the monetary system and also of the reasons for tl changing nature of that system over time. The following sectio will provide a detailed analysis of the role of gold in the pos World War II phase of capital accumulation, with particular stre being laid on the conditions which gave rise to the current cris in capitalism and on the effects of that crisis on gold's role in tl monetary system.

The Functions of Money

> 'Money does not arise by convention, any more than tl state does. It arises out of exchange; it is a product of tl same.' (Marx, 1973, p. 165)

According to Marx, the capitalist exchange process (the basis which may be expressed in the syllogism, C — M — C) can on function systematically if the commodities which are exchang have as their value a common property, human labour, by whi they can be measured against each other. The human labo which is embodied in the commodity is measured by social necessary labour time. The value of all commodities is thus dete mined by the amount of human labour, measured in terms socially necessary labour time, which they embody and whi provides the basis for their exchange. The actual measurement commodities, as values, occurs through the medium of money. Marx's own words:

> 'The first chief function of money is to supply commoditi with the material for the expression of their values, or represent their values as magnitudes of the same denomin tion, qualitatively equal, and quantitatively comparabl (Marx, 1974, p. 97)

It is important to stress, though, that although money is *tl means* by which commodities are measured with each other, it not money which provides *the basis* for the measurement. Mon is only the material for the *expression* of the values of commo ties. It is human labour measured in terms of labour-time which the basis of the equation and comparison—ie. the measurement of commodities. Money only *represents* the value of commo ties; it does not give commodities their values.

However, the function of money in the exchange process als determines the form which money takes. In order to fulfil i function as a measure of value, money must itself have value — must itself be a commodity whose value is determined in tl same way as is the value of other commodities (by the amount human labour they embody). Thus, in order to function money—as general value-equivalent—money must of necessi adopt the commodity-form.

But money fulfils a number of other functions in addition its main function as a measure of value. The first of these is th it acts as a store of value. The function of money as a store

value arises out of the structure of the exchange process itself. In that process producers and consumers are not directly and continuously linked. Hence, the two separate processes of buying and selling require to be linked before a system of exchange can develop — and it is money which provides the necessary link combining the two poles of the syllogism, C — M — C. This function of money again determines its form, for in order to act as store of value money must appear both as the general universal form of value, 'the common form into which all commodities as exchange values are transformed' and as 'a particular commodity alongside the others' (Marx, 1973, p. 165). That is, money must again of necessity assume the commodity-form. In this sense, then, these two functions of money, as a measure of value and as a store of value, are closely related, since in order to carry out both these functions money must function as a value-equivalent.

The commodity-form is not, however, essential to the third function of money. This function relates to the role of money as the means by which the circulation of commodities in exchange occurs: ie. money appears as the actual means of exchange (or in Marx's words, as the 'medium of circulation') in the exchange process. In this sense, although money functions initially in commodity-form, the historical development of the exchange process renders the commodity-form increasingly irrelevant to the money-function. The development of technology and extension of the market reduces the spatial and temporal separation of the two poles of the syllogism, C — M — C. Indeed, the sale and purchase of commodities now occurs with hardly any time-gap at all and, consequently, money plays no more than a fleeting role in the process, acting simply as a unit of account to facilitate the circulation of commodities. This function of money is thus clearly differentiated from the former functions in that money no longer has to function as a value-equivalent—it no longer has to realise the value of a commodity. However, even more important, this latter function of money now appears as contradictory to the former functions. For whereas the commodity-form of money is essential to money's functions as a value-equivalent, that same form is not only irrelevant to, but actually hampers, its function as a means of exchange (in that the material bulk of money-commodities like gold, silver, furs or cows, hampers efficiency). It is this contradiction which opens the way for token substitutes like paper-money to be introduced to the exchange process. For these substitutes, which represent but do not contain the real value of money, facilitate the function of money as a means of exchange. They do not, however, impinge upon the functions of money as a value-equivalent.

Hence, while commodity circulation is necessary to production, the circulation of money in its commodity-form is not necessary to commodity circulation and, consequently, commodity-money comes to be replaced by other circulating media which represent commodity-money. This is the objective basis,

not only for the historical origin of paper-money, but also for the state's control and regulation of the money supply in the national economy. The functions of money as, on the one hand, a measure and store of value and, on the other, a means of exchange can be distinguished both in value terms and in historical terms (in the actual historical development of the exchange process). First whereas in fulfilling the former functions money must have an intrinsic value of its own, this requirement is not necessary for the fulfillment of its latter function; and, second, the former functions of money are historically prior to the latter function It was in the period of the earlier markets, when the exchange of goods was only occasional and spasmodic, that producers required to receive, in return for the sale of their particular commodity, a money-commodity which functioned as a general value equivalent. It is the actual historical development of the market and in particular its development under capitalism (with the increasing division of labour and expansion of production which that system entails), that leads to the transformation of the exchange process into a continuous and consistent system in which the functions of money as a measure and store of value become subordinated to its function as means of exchange. Consequently as a result of this transformation, the requirement of money to assume the commodity-form in the actual exchange process is reduced. The predominance of the rapid circulation of commodities under capitalism means that commodities are constantly changing hands and that the function of money to actually realise the value of a commodity *seemingly* disappears. But according to Marx, despite the disappearance of money's function as a value-equivalent at the level of *appearances* under capitalism in *essence* money never loses this function.

This contradiction between what occurs at the level of appearances and reality under capitalism emerges clearly in terms of economic crises. For example, in a crisis of over-production commodities stream onto the market but cannot be absorbed and consequently the even rhythm of circulation (the smooth flow of commodities) is disrupted and exchange breaks down. Now money can no longer function as a means of exchange since exchange itself has collapsed. At this point the other function of money (as general value-equivalent) reasserts itself with a vengeance. Now everyone wants money, but not paper-money, which has no real value of its own. They want commodity money; money in which value itself is stored; money in the form of the general value-equivalent of the commodity, which can be held indefinitely or at least until the crisis is over and then exchanged for any particular commodity (for any particular exchange value).[1]

This function of money, as means of payment, is not identical with money's functions as measure and store of value However, since it involves the employment of money as a general value-equivalent, it can be grouped together with those other

functions of money (as measure and store of value) in which money functions as a general value-equivalent. As such, a similar condition is attached to its form in fulfilling its function as means of payment: ie. it assumes the commodity-form of the general value-equivalent. This means that other 'profane' forms of money, eg. paper-money, should not be substituted for it. However, as a result of the expansion of financial and banking structures under advanced capitalism such substitution of commodity-money as means of payment does in fact occur over the short-term. For instance, the development of the credit system means that paper-money does *temporarily come to represent* commodity-money in its means of payment function.[2] But it can never *entirely replace* commodity-money in this function because ultimately, and particularly in times of crisis, real payment—i.e. payment in terms of the generally exchangeable value-equivalent—is demanded.[3]

However, the fact that some replacement does occur opens the way to confusion. For the paper-money which circulates in modern capitalist society subsumes under itself these two money functions: the means of exchange function, in which form it is 'true' paper-money, and the means of payment function, in which form it is 'profane'.[4] In its 'true' function as means of exchange, paper-money must simply facilitate the circulation of commodities: it is never called upon to realise the value of commodities and therefore the problem of its relation to the stock of the money-commodity (gold in modern capitalist society)—the problem of convertibility — does not arise in this case. This is not the case, however, in the case of its 'profane' function as means of payment where it is issued in lieu of real payment (for instance, as credit): in this case there must necessarily be a strict correlation between the value the paper-money carries and the actual amount of money-commodity (gold) it represents—that is the issue of convertibility is paramount—because although the credit system *defers* payment, ultimately payment still has to be made.

A further confusion in the relationship between the money-commodity, gold and paper-money arises as a result of the fact that gold no longer plays any obvious role in the *domestic* capitalist economies. This follows the abolition by the leading capitalist powers of domestic convertibility in the early decades of the 20th century. It was the extension of capitalist relations to all sectors of the domestic economies, accompanied by an increasing concentration of capital, which made it possible for these states to bring the domestic exchange systems under their control. The state literally took over the function of gold as means of payment by acting as guarantor of the credit system. As a result the money-commodity gold, came to be formally abolished from the domestic economies.[5] However, as we noted above, when the state itself is threatened the issue of convertibility — of the money commodity — immediately leaps to the fore again.

But what was possible on a domestic level has not proved t be as easily possible at the international level. For the basis of th state's regulation of domestic exchange lay in the fact that unde advanced capitalism a relatively high level of concentration c production was achieved. Attempts to increase the concentratio of production on a world scale have inevitably produced vas economic and political crises as competing national capital challenged each other for hegemony. Despite these set-back however, concentration of production on a world scale has prc ceeded and is in fact accompanied by a more sophisticated exter sion of exchange machinery beyond the immediate confines of th nation state. The EEC is an example of this kind of politic extension on a regional basis while the World Bank and the IM provide examples of different kinds of political support structure which create further conditions for the concentration of produ tion on a world scale. But it is necessary to stress that it is nc possible to move in a linear fashion from an argument regardin state control over the exchange system *within a domesti economy* to an argument regarding political control over th *international capitalist exchange system itself*, since the latter qualitatively different from the former. To achieve a unitar world capitalist state with legislative powers which bind all con peting capitalist nations would require, in the first instance, united and powerful world ruling class which has no base in particular nation state. (I shall explore later what happens when particular capitalist ruling class located in a particular natio state attempts to become a world ruling class.)

Whether such an unlikely eventuality is possible or not is nc the object of this investigation. What I shall attempt to do, hov ever, is to examine the way in which the historical developmer of the exchange system under capitalism has led to pressures c this kind—pressures to squeeze commodity-money out of th international exchange system altogether and to replace it by state-dominated international exchange system. I shall the examine the way in which a particular national capitalist powe the United States of America, sought to project its currency int worldwide circulation as a substitute for gold in an attempt t gain control over the international exchange system (an thereby, over other national capitals). And finally, I shall explo the effects of this on the international system of exchange an specifically, on gold's role within it.

Gold and the Evolution of the International Monetary System

The above analysis of the major functions of money in exchan lays the basis for a discussion both of the role gold has come t play in that system and of the historical changes in the form the system itself. The question which immediately presents itsel however, is why, out of all the available commodities should go have evolved to function as the money-commodity?

Marx argued in the *Grundrisse* that the money-commodi

would *initially* be that commodity 'which represents within the given social organisation wealth'—i.e. 'the commodity becomes money because of its particular use value'. (1973, p. 166). At this early stage of development of the exchange process we find that it is commodities like salt, hides, cows, etc.—commodities which have a particular usefulness in the society either as means of production or consumption—which bear the stamp of the money-commodity. However, as exchange develops, the need for a smooth-flowing, efficiently functioning system means that the money-commodity becomes that commodity which 'will best serve the needs of exchange as such'. It is no longer the particular use-value of the commodity which determines that it fulfils the role of the money-commodity, but instead the money-commodity now 'acquires its particular use-value from its serviceability as money'. This is the stage at which the precious metals come to the fore as money, for they in particular have the *physical properties* which best serve the requirements of the expanding exchange system.

> 'The precious metals last, they do not alter, they can be divided and then combined together again, they can be transformed relatively easily owing to the compression of great exchange value in little space—for all these reasons they are especially suitable in the latter stage.' (Marx, 1973, p. 166)

Among all the precious metals it is gold whose physical properties make it best suited to fulfil the exchange requirements and, consequently, it is gold which gradually emerged as the money-commodity *par excellence*. (Although it was only in the 19th century that gold finally managed to triumph over silver.) Among its important physical properties we can cite the following: gold does not corrode, disintegrate or even tarnish over time and, hence, may be kept indefinitely (silver on the other hand, does deteriorate physically, albeit slowly); gold is highly malleable and ductile and thus is easy to work with; gold has a high specific gravity but also a high value relative to volume and thus much more value can be represented by relatively little gold. No other commodity combines all of these properties in the same proportions and, consequently, because of the suitability of these properties to the requirements of the exchange process, the development of exchange gradually resulted in the emergence of gold as money.

Gold was first used as a monetary standard in Egypt as early as, at least, 3500BC when it was stipulated in the code of Menes that one part of gold was equal to 2½ parts of silver. It was introduced as money to Europe by the Graeco-Romans and circulated widely during the rise of the Roman Empire in the form of gold coins. However, the decline of the Roman Empire saw the progressive debasement of gold coinage and, during the feudal era, gold coinage virtually disappeared, not to reappear again in Europe on a significant scale until the 15th century. From that

period through to the present, although undergoing man changes, gold's importance as the money-commodity has bee unbroken.

Thus the origin of gold's present status as the money-com modity—its monetary root, as it were—is located in the rapi expansion which occurred in exchange in the period of the ris of mercantile capitalism. This period saw the emerging com mercial bourgeoisie—merchant bankers, traders, goldsmiths, et —begin to accumulate gold in the commercial centres of Europ in response to the development of the capitalist market. Gol thus functioned initially as a measure and store of value, means c payment and means of exchange—i.e. it fulfilled all of its majc functions. But as the market developed during the 15th and 16t centuries the goldsmiths developed the use of convertible pape currencies and bank issues. The certificates which were issue against deposits of gold left with the goldsmiths for safe-keepin were exchangeable for gold on demand, but could also be used i place of gold for the payment of debts. These substitute certif cates thus came to supplement gold in its functions as means c exchange and means of payment. Storing gold with the goldsmit for safe-keeping was an acknowledgement of its function as stoı of value; replacing gold by paper currencies was an acknowledg ment of its inefficiency as means of exchange; ensuring that thes paper currencies were convertible on demand was a acknowledgement that, as real means of payment, they were ir adequate and could not wholly substitute for gold.

The partial substitution of paper currencies for gold was specific response to the development of the capitalist market. Th goldsmiths, knowing that all their obligations were unlikely to b presented at once, could and did issue certificates for more gol than they actually possessed. This facilitated an increasing circı lation of commodities in the market through increasing monetar liquidity as well as by allowing the emergence of a rudimentar credit system. In other words, exchange could now expand fast than would have been possible had only gold been used i exchange. (It should also be remembered that between the 15t and 18th centuries gold did not function alone as the mone commodity but competed with silver and other metals fc monetary supremacy.)

At the beginning of this period (the 15th century) gold w supplied by mines within Europe itself: from Transylvani Bohemia and the Sudeten in particular. But continued capitali expansion rendered these sources inadequate and a search for ne sources of supply began. The navigational expertise developed b the commercial bourgeoisie enabled them to send expeditioı across the world in search of new sources of wealth to plunde By means of superior arms, bribery and trickery they capture gold treasures from the peoples on the African Gold Coast, an following the discovery of the New World, from the Incas, Azte and other South American peoples. The Gold Coast, Peru ar

Mexico provided the bulk of the gold in the 16th century; Colombia in the 17th century; and Brazil in the 18th century.

The 18th century witnessed the start of the Industrial Revolution which transformed capitalism from its phase of mercantilism into industrial capitalism. This advance demanded a more stable world monetary system which could facilitate international trade in particular. Before this could be achieved, however, a greater degree of unity than existed at the time had to be brought about between the competing national capitals of Europe. The end of the Napoleonic wars in 1816 saw Britain assume world dominance and, following on from this, a gold standard system, which could serve as the basis of international trade, emerged.

The new system reflected the economic and political power which British capital had achieved in the world. The essence of the system consisted in the fact that Britain put its currency, sterling, on a pure gold standard. The first, and most important effect of this was that it relegated silver to a subordinate role as *token* money. Gold now functioned as the sole official measure of value, and the primary medium of exchange became a gold coin of definite size, weight and fineness: gold had achieved monetary supremacy. But it did not function alone in the exchange system; paper, credit and token monies also circulated as means of exchange and, as we shall see, there was an expansion of the credit system. But these subordinate monies were all declared to be convertible into their gold-coin equivalent upon demand.

The supremacy of gold in the monetary system achieved an international dimension when other countries, being economically weaker than Britain, were forced to follow Britain's lead. Gold, in the form of standardised coins, now came increasingly to be adopted as official legal tender throughout the world. As a result currency exchange values became accurately known in terms of one another and, for the first time, an *international* gold standard came into being. By the second half of the 19th century this mode of exchange had come to be universally accepted for transactions both within and between countries.

The rising supremacy of gold as the sole money-commodity in the world monetary system did not, however, hinder the drive to economise on the usage of gold in its various functions. In particular, the period of industrial imperialism, which began in the latter part of the 19th century, demanded a more rapid circulation of commodities than had been the case previously. In order that this circulation should not be disrupted or retarded by shortages in the material supply of gold various substitute measures were developed. The credit system under the control of the powerful and sophisticated banking system that had emerged in the 19th century, expanded on the basis of the rudimentary principles which had been employed by the goldsmiths four centuries earlier: they issued paper money well in excess of their gold obligations, always however remaining within certain limits so as not to threaten convertibility. At the same time, the so-

called 'hard' currencies—and in particular the dominant 'hard currency, sterling—came to be substituted for gold for reserv and payment purposes (i.e. these currencies came to represen gold in its functions as store of value and means of payment). A a result they came to be regarded as being 'as good as gold'— mystification which, as we shall see, it was possible to maintai only as long as capitalism avoided falling into crisis. Thus th period did see a gradual encroachment of paper-money int further areas of gold's functions: now, not only as means o exchange and means of payment, but also as store of value. How ever, despite this internal contradiction, the system remaine essentially based on gold and was to survive as such for a hundre years.

The supremacy which gold achieved in the monetary systen over this period increased the demand for gold and soon Lati American supplies were proving inadequate to meet the risin demand.[6] For a times the needs of the new economic expar sion were met by Russian discoveries, but by the mid-nineteent century the gold shortage was causing some considerable cor sternation among capitalist circles in Europe. As a result capita ist prospecting activities throughout the world intensified an were rewarded by major discoveries in California in 1848, i Australia and Alaska over the next few decades, and, finally, i 1866 in South Africa. The South African discoveries were th largest the world had known and mining there was soon develop ed on the basis of their employment of relatively sophisticate underground machinery and the employment of a large work-forc By 1989, only 12 years after their discovery, the South Africa fields were responsible for 28% of the world's output. From then o it was South Africa more than any other country which was t supply a sufficient volume of the money-commodity to ensu the smooth functioning of the international money systen

The Collapse of British Hegemony

However, the particular form which the monetary system ha taken since the early 19th century began to crumble in the earl years of the 20th century. The transformations which the mon tary system underwent between 1914 and 1931 were essentiall the product of both the changing form of capitalism and th changing relationship between the most powerful capitalist state Conditions of monopoly capitalism came to characterise th capitalist system at the same time as British capital, faced wit the rising strength of the British working class and increasir competition from other European and US capitals, began to lo its international supremacy. The outbreak of World War I — th violent expression of these conditions — shattered the existin international monetary system as most of the gold-standar countries suspended currency convertibility. Although effor were made to return to the gold standard during the 'twentie competition between US and British capitals prevented th

system from operating effectively and, instead, the period was characterised by a struggle between the dollar and sterling to be the most important 'hard' currency. The Great Depression of the inter-War period, which prevented the free flow of gold in the international system, caused further severe economic disruptions among the leading capitalist powers and 19th century parities could no longer be maintained. The existing monetary system collapsed and was reconstituted on the basis of the requirements of a system of monopoly capitalism which was now under the leadership of the new dominant power, the United States.

The new form of monetary system which emerged in the wake of the Depression involved a fundamental restructuring of gold's role in the system. In particular, the process of contraction of gold resources, which had begun earlier, was intensified through increasing substitution of paper currencies for gold both domestically and internationally. The reasons for this change were structural — i.e. in order to provide greater monetary liquidity for the expansion of monopoly capitalism — but the particular form they took reflected the attempt by US capital to secure hegemony for the dollar.

Domestically, the most important change was that gold's role in the internal monetary system of capitalist states was abolished. Following the abandonment of the gold standard in 1931, gold coins were withdrawn from internal circulation and replaced by Government-regulated paper and credit currencies. In this way capitalist states restricted the domestic usage of gold — citizens were, in most cases, prohibited from owning gold and ownership of the nation's gold resources increasingly became the function of the state-owned central banks. Domestically, therefore, gold was legally prohibited from functioning as a means of exchange, store of value or means of payment. The result was a further contraction of gold resources within countries to central state-controlled sources, where they accumulated to be used in international trade.

The continuation of international trade, of course, demanded that a standard or measure of value should exist between national currencies. While national capitalist states were politically powerful enough to legislate against internal convertibility of gold, there was no world state nor any world body which was politically strong enough to introduce or enforce such a system on a world scale. Since particular currency values were no longer determined from gold coins — i.e. since gold no longer functioned officially as measure of value in domestic usage — exchange rates between currencies now had to be the subject of negotiations. These stipulated parities were based on gold: that is, the centralised gold reserves of the nation states were used to back their currencies and as a means by which their exchangeability could be measured. These reserves could also be used, of course, as a means of payment for a foreign holder of a currency who wished to convert to gold. Thus at the international level the new monet-

ary system retained gold as a measure of value between currencies, as a store of value in central-controlled banks and as a means of payment. As a means of exchange, however, gold was replaced by 'hard' currencies and, in particular, by the US dollar. Thus, although as a result of these measures the flow of gold between countries was significantly diminished, gold continued to function as the essential base of the new international monetary system.

The effect of the new system was of course to increase monetary liquidity — i.e. to allow for a faster rate of expansion of capitalist economies than the existing gold stock, under the previous form of the system, would have allowed. Even at the international level, the changes instituted meant an effective devaluation of currencies in terms of gold or, conversely, a rise in the price of gold. The world gold prices, having remained steady for about two centuries, now rose in terms of all currencies: for example, the price of gold in relation to sterling rose from £4.25 per fine ounce in 1914 to £9.71 per fine ounce in 1949, while in relation to the dollar the price rose from 20.67 to 35 dollars per fine ounce. (Graham, 1964, Chapter 1) The marked rise in the price of gold immediately stimulated gold producers to increase production. Large-scale prospecting undertakings, based on newly-developed scientific methods, were undertaken and within just over a decade three major new gold fields had been discovered in South Africa alone, while further small discoveries had been made elsewhere in the world. These discoveries ensured that the expanding monopoly capitalist system would receive the increased supplies of gold which it required for the efficient functioning of its exchange system.[7]

In the next section we shall analyse the post-1944 period. We shall see how pressures for the increasing contraction of gold continue in this period and how these pressures enable US capital to put forward demands for the complete abolition of gold from the monetary system and for its replacement by forms of *paper currency*, e.g. the US dollar. We shall then examine the way in which these pressures and demands generate a crisis in the international monetary system and see how the resolution of that crisis demands that gold's role in the system be maintained.

The Gold Exchange Standard and the Dollar

By the end of World War II European capitalism was in ruins and the threat of socialism and Soviet hegemony was everywhere apparent. The crisis which capital faced essentially was to find a way to secure the most rapid reconstruction of capitalism so as to stave off socialist advances in Europe. The fact that the US emerged from the war relatively unscathed and as the most powerful industrial nation in the world meant that European capital had a powerful ally to assist it through the process of reconstruction. It was these economic and political conditions which confronted those capitalist states which met at Bretton

Woods in 1944 to restructure the international monetary system.

(i) Bretton Woods and US Hegemony

The major problem which the participants at Bretton Woods faced was broadly the same as that which had plagued capitalism throughout its history — i.e. the need to find a system which ensured that the level of monetary liquidity in the exchange system was not restricted to the level of the physical volume of gold available. However, as a result of the social upheavals which confronted capital in 1944, this problem now presented itself in the form of a crisis. The Bretton Woods Agreement not only provided a monetary system which could secure the goal of rapid reconstruction under capitalism, but it also ensured that the new system would be dominated by US capital.

Essentially, what the new system did was to overcome the physical limitations on commodity circulation which a gold-based system entailed in a way which surpassed anything which had previously been achieved. This it did through the creation of the Gold Exchange Standard which established the convertibility of the US dollar into gold — that it, the US dollar became accepted as a reserve currency on a par with gold. According to the Articles of Agreement of the International Monetary Fund (IMF), which was established by the 44 capitalist states represented at Bretton Woods, the par value of each member's currency was to be expressed in terms either of gold or of the US dollar at its fixed gold 'content', which was specified at 1/35th of an ounce. This meant that, in terms of the ideology of the times, the dollar became 'as good as gold' or, expressed another way, gold's role in the international monetary system was further restricted and was in effect largely supplanted by a paper currency, the US dollar.

The dollar coup implemented at Bretton Woods did no more than reflect the conditions of international capitalism in the post-war period. The War had literally smashed the economies of Britain, Germany, France, Italy and Japan, leaving their major competitor, the US, as the unchallenged master of the capitalist system and as its major defence against socialism and the spread of Soviet hegemony. Reconstruction of the devastated capitalist economies could only be carried out on the basis of inputs of US commodities, US capital and US aid.[8]

Consequently, the US was in a position to impose on the assembled states at Bretton Woods a system whose form reflected the dominance of the US within international capitalism. The Gold Exchange system was not of course the only way in which the monetary problems of the time could have been resolved. The other major possibility suggested at the time was a return to a form of Gold Standard system based on a higher price for gold — a price which reflected more realistically its value (i.e. the amount of socially necessary labour-time required to produce it). By artificially suppressing the price of gold over the past decades,

international capital has restricted profitability in the gold minin industry, thereby limiting expansion and reducing the supply o gold. If the price was raised substantially, profitability would rise stimulating an increase in production and therefore increasing th supply of gold. Consequently, under this system it would no have been necessary for the dollar to substitute for gold in a radical a way as was envisaged under the US-backed Gold Ex change syste. It was precisely for this reason that the US refuse to accept the Gold Standard system — for it limited the extent t which they would be able to dominate the international monet ary system, with all the advantages that this implied for U capital.

The US was able to prevent the Gold Standard system bein accepted at the conference through their capacity to render gol inoperable as the basis of the capitalist exchange system. Thi they could do by virtue of their control over the vast majority - that is, 78%—of the capitalist world's gold reserves, which gav them the power to dictate the price of gold.[9] What they did wa to impose on the conference the 1934 gold price of the dollar (3 dollars an ounce), despite the fact that since 1934 prices o commodities in general had trebled. This inordinately low price well below the value of gold, rendered the metal incapable o functioning effectively as the basis for the currency and credi structure of the capitalist exchange system, since it could n longer express the real value of commodities in general. Thus b rendering gold ineffectual in exchange, the US paved the wa for the practical substitution of the dollar as the recognise means of payment and means of exchange of the new system.

(ii) Internal Contradictions of the System

Although gold had been effectively dismissed from fulfilling it major functions in international exchange, clearly this had onl been made possible because of the predominant position held b the US in the capitalist world, both as the supreme economi power and by virtue of its virtual monopoly over the world gold reserves. In fact what the US had done was not only t *replaee*
replace gold with the US dollar as international means of e change, but also to allow the dollar to usurp gold's function a international means of payment. In adopting this latter ('pr fane') function the dollar came perilously near, in terms of o earlier analysis, to contradicting the basis of the capitalist e change system itself since it is only the *money-commodity* whic can function internationally as *real* means of payment. The doll could of course continue to function in this role without bringi about a crisis only so long as US capital could support it: that i only so long as the US state was in a position arbitrarily t stipulate what the gold 'content' of the dollar should be. As soo as US capital lost that ability — as soon as it lost its economi

supremacy and its monopoly over the world's gold reserves — then the dollar would be exposed as having no inherent gold content (i.e. no value of its own) and a crisis would ensue as capitalists sought to dispose of value-less dollars in return for the general value-equivalent, i.e. the real money-commodity, gold. The decline of the dollar would then automatically be accompanied by a rise in the dollar-price of gold, since the dollar's inability to fulfil the major functions of money in exchange would generate immediate pressures for gold to resume these functions.

Initially, however, the system worked. This was because in the immediate post-war period — the period of economic reconstruction — dollars functioned primarily as means of exchange to facilitate the circulation of US commodities internationally and were not called upon to function as a real means of payment (i.e. they fulfilled their 'true' function and were not called upon to function 'profanely'). Since the US produced the commodities which the rest of the capitalist world needed, it issued credit in the form of dollars to the countries which imported these commodities. Thus, so far as the means of payment function was concerned, as long as the US was a net exporter to the rest of the capitalist world, dollars functioned essentially as *credit* notes issued by the US and not as *real* means of payment. Even in 1950 when the US balance of payments reflected a deficit, the system still functioned smoothly: first because the deficit was not a trade deficit and, second, because dollars functioned also as money-capital. These require some elaboration.

Robinson has argued that the deficit which characterised the US at this time (during the 'fifties) was not an indication of economic weakness, but on the contrary actually reflected the strength of the US vis-a-vis other capitalist powers. According to him, since the deficit at the time was not a *trade* deficit—the US in fact had a relatively high surplus on goods and services throughout the whole of the 'fifties and even the 'sixties—but was caused essentially by long term capital transfers abroad, foreign military spending and government grants in aid and remittances, it was a deficit which reflected the rising level of US involvement in the affairs of other countries.[10] The deficit thus arose specifically out of US monopoly capitalists' efforts to extend the arena of US imperialism (both in the developed and underdeveloped parts of the world) and not out of the inability of the US to compete with the other advanced capitalist powers (the US remained a net exporter of commodities).

However, while it is clearly correct to argue that the US was economically stronger than its rivals at this time, it seems to be incorrect to argue that the deficit reflects this strength. On the contrary, what the deficit does is to reflect a particular weakness of the US's attempt to maintain its dominance *by economic means alone*. The then US Secretary of Commerce, Henry Fowler, summed up the situation as follows:

> 'Indeed, while it is most difficult to quantify, it is also im possible to over-estimate the extent to which the efforts anc opportunities for American firms abroad depend upon th vast presence and influence and prestige that America hold in the world. It is impossible to overestimate the extent tc which private American ventures overseas benefit from ou commitments, tangible and intangible, to furnish economi assistance to those in need and to defend the frontiers o freedom . . .In fact if we were to contemplate abandonin those frontiers and withholding our assistance . . . I wonde not whether the opportunities for private American venture would wither—I wonder only how long it would take. (Speech to the US Council of the International Chamber o Commerce, December 1965)

Of course, what Fowler is referring to here is not just the problen of the US maintaining its position in the face of growin economic competition from other capitalist states, but mor specifically he is referring to the intensification of the threa posed to international capitalism by worker resistance, nationa resistance and a growing Soviet influence in the world. It is thes developments which were largely responsible for the deficit as th US, the world's leading capitalist state, strove to hold thes various forces at bay through increasing military spending an political and economic involvement abroad. The US state thu found itself, not just striving to preserve and enhance its ow economic interests throughout the world, but also having to tak on the more general defence of the system of internationa capitalism at a time of rising opposition to that system. One c the first signs of the heavy toll that this imposed on the U economy was the deficit on the US balance of payments.

However, where Robinson is correct is to argue that precisel because the deficit was not a trade deficit international capitali confidence in the US was not substantially affected thereby. Cor sequently, capitalist powers, including those with whom the U was in deficit, were not averse to accepting and holding U dollars as the equivalent of currency reserves, even though the were issued as credit-money in lieu of real payment. Not only di the economic strength of the US vis-a-vis its major competito guarantee the stability of the dollar, but it also generated a cor tinual demand for dollars which meant that they could be re-ler at interest to other countries. Functioning in this way, as mone capital, dollars became in themselves a source of wealth for tho who accumulated them. Those capitalist states which accum lated and re-lent dollars thus came to participate in the extensio of the credit structure which the US state had established i order to finance its over-spending—i.e. they participated in tl general imperialist network which existed under US hegemony.

Thus although the new monetary system functione efficiently during the late '40s and '50s (thereby enhancing th

myth that the dollar was as good as gold), it is equally apparent that over that period the dollar was called upon to act only *in lieu* of real payment and not as *actual* means of payment. Consequently, although many of the dollars which the US 'manufactured' and issued as credit-money were 'phantom dollars' (i.e. they were not backed by material wealth), the general conditions of US economic and political power obscured this reality at that time. However, should those conditions be removed, even partially, and the dollar be called upon to function as real means of payment, it would be unable to fulfil this function and international exchange, based on the extended dollar-credit system, wold be plunged into a crisis. The conditions which were to lead to this eventuality had already begun to manifest themselves openly as early as the late '50s.

In 1958 agreement was reached among the leading capitalist powers that henceforth their currencies would be convertible with the US dollar. This transition reflected the rising economic strength of the other major capitalist countries in relation to the US. Reconstruction had created conditions whereby European and Japanese commodities were now circulating more widely in world markets. Just as the world-wide circulation of US commodities in the mid-'forties had created a demand for dollars to function as means of exchange, so now the increasing international circulation of European and Japanese commodities set up a similar demand for their currencies to function as means of exchange. The 1958 Agreement thus resulted in a number of different currencies coming to fulfil this function internationally, the relations between them (as reflected in their exchange rates) constantly varying in broad accordance with the economic fluctuations within their countries of origin. The significance of this was that it provided an unambiguous indication that conditions of inter-capitalist rivalry among leading powers were beginning to reassert themselves.

The immediate post-war period, in which the US had reigned supreme in the international exchange of commodities had drawn to a close. The process of economic reconstruction, based on the most advanced conditions of monopoly capitalism, had produced powerful national capitals in Europe and Japan who now began to compete increasingly with the US for world markets, including the internal US market. The 'traditional' markets for US exports began to contract at the same time as US financial obligations abroad were increasing. Consequently, the US balance of payments deficit began to rise: between 1950 and 1957 the total US deficit had been $10bn; between 1957 and 1960 alone it rose to over $10bn; while between 1961 and 1970 it soared to $31bn. The rising level of the deficit began to exert pressurre on the dollar—for now the dollar's function as means of payment came increasingly to the fore. While the US issued ever-increasing numbers of credit-dollars, in lieu of real payment, to tide it over its deficits, the ever-rising deficit encouraged many to seek to

convert their dollars into gold—i.e. to demand *real* means of pay ment. Consequently, US gold stocks fell from a record level o $24.6bn in 1949 to $20.6bn in 1958 and $13.2bn in 1966. I 1963 the US State was forced to intervene. President Kenned secured an 'interest equalisation tax' from Congress which wa designed to curb the outflow of capital, reduce the balance o payments deficit and slow down the loss of gold. (Mandel, 1973 p. 14.)

(iii) The System Collapses

By the mid-'60s, however, the US's position had deteriorate even further. Forced to even greater increases in its foreign expen diture in order to suppress the rising tide of national and worke revolt throughout the world (especially, of course in South Eas Asia), US capital was unable to restructure itself so as to kee pace with the advances being made by its major competitors.[11] Furthermore, the continued export of capital reduced the volum of capital which was available to reduce the social contradiction in the US itself—e.g. for raising real wages, building schools cheap housing and hospitals. Consequently, the period from 196 to 1970 was characterised by growing workers' militancy an increasing strikes in the US. As a result wage increases were mor or less able to keep pace with price rises, while productivity level in the manufacturing sector declined.[12]

While all of these conditions were combining to render U industry less competitive, the very reverse was happening amon her major competitors. The relative success of the assault bein waged against the European working class through the impositio of wage controls and other 'austerity' measures raised product ivity levels in these countries; mergers among European an Japanese corporations increased the competitiveness of thes large concerns; while the devaluation of the pound in 1967 an the franc in 1968 made British and French commodities mor competitive on world markets. As a result then of changes in th relations of class forces and anti-imperialist struggles, the US position relative to the other advanced capitalist states had bee weakened, to the extent that by the end of the 1960s she had lo her large competitive advantage over her rivals.

This phenomenon was not only expressed in the relativ decline suffered by US manufactured exports at this time, bu also more fundamentally by the rising level of manufacture imports to the US. Throughout the 1950s and the early 1960s U imports had risen at a slightly lower rate than the GNP; fro 1965 to 1971, however, they rose almost twice as fast. The maj cause of this increase in the level of imports was the decreasin competitiveness of US manufacturing industry in relation to th US's major capitalist rivals. For example, the countries whos exports to the US rose fastest over this latter period were Japan West Germany and Canada (in that order): in 1964 thes countries between them had accounted for 38% of US imports; i

1971 they accounted for 51% and were responsible for 60% of the increase in US imports between 1965 and 1971. (Europe and Japan together accounted for 79% of the increase over that period.) Furthermore, it was capital goods and durable consumer goods (and not raw materials) which were primarily responsible for the major increase in US imports: in 1964 these categories of manufactured goods had accounted for 17% of US imports; in 1971 they accounted for 37% and made up one half of the increase in imports, while other categories of *manufactured* goods (rather than *raw materials*) made up the bulk of the remainder. (Bank for International Settlements, *Annual Report*, June 1972, p. 149.)

These conditions undermined international confidence in the economic strength of the US. The fact that by the latter half of the 1960s the US was showing itself to be increasingly incapable of paying for its imports through the sale of its own exports meant that credit-dollar payments abroad came to be increasingly exposed as being what they were, 'phantom dollars'. This in turn encouraged those who held dollars to reject them and to demand real payment—i.e. the general value equivalent, gold. The basic contradiction inherent in the post-war exchange system was asserting itself: dollars were proving incapable of functioning as real means of payment. Dollars began to flow back into the US in ever larger quantities and gold to flow out. By 1968 US gold stocks (which stood at $24.6bn in 1949) had fallen to $12bn and by mid-1971 to $10bn. (Between 1961 and 1970 the US gold stock was depleted by $7bn.)

This rapid depletion of the US gold stock in turn made it increasingly difficult for the US to hold down the price of gold. As early as 1960 the free market price for gold had risen temporarily to $41 an ounce (compared with the official US imposed price of $35 an ounce). The US attempted to suppress the rise by introducing a central bank's gold pool, which would buy gold from the private market, thereby maintaining the threat of swamping the market without eating too deeply into her own diminishing reserves. But by 1968 confidence in the US economy and in US dollars had been so seriously diminished that a sudden rush of speculative buying in the first quarter of 1968 absorbed $2bn of gold (*Financial Mail*, 1976, p. 16). The price of gold shot up to a record height of $44.36 an ounce on the Paris market; the artificial $35 price could no longer be maintained and the US was forced to concede defeat. A two-tier structure was introduced whereby the US was forced to formally recognise the existence of a free market for gold, whose price was not subject to arbitrary control. According to the new system central banks continued to conduct their transactions in dollars at the official rate of $35 an ounce while, simultaneously, a free market for gold, in which central banks did not participate, was recognised alongside the official market (*Financial Mail* Special Survey, October 1972).

The new structure did not solve the problem which faced the

monetary system at that time; it simply staved off the impending collapse temporarily. The problem was that, although the decline of the US economic power had weakened US capital considerably in relation to her rivals, nonetheless she still remained the single most powerful capitalist state in the world. Consequently, while her relative weakness now rendered her incapable of maintaining the monetary system in the form of the 1944 Bretton Woods Agreement, she was by no means sufficiently weak to be forced to give up the system *altogether*. Furthermore, all of the advanced capitalist powers now held billions of dollars themselves and were therefore unwilling to see the dollar-credit system collapse totally. Since the conflict between the dollar and gold (over which should function as international means of payment) was essentially a manifestation of a deeper struggle between rival imperialist powers, it followed that while there was no resolution to the inter-imperialist struggle there could be no *permanent* resolution to the dollar-gold struggle (though there had clearly been a shift in favour of the latter). However, what was clear by the end of the 1960s was that the US was now sufficiently weak for it to be impossible for US capital to maintain the mone tary system in its present form.

The balance of payments deficit which had plagued the US since 1950 continued to rise in the early 1970s: from $3.9bn in 1959 to $7bn in 1969, $10.8bn in 1970 and $11.5bn in the first half of 1971. But in 1971, for the first time this century, the US ran up a *trade* deficit as imports exceeded exports by $2.7bn. (US exports $42.8bn; imports $45.5bn.) (Robinson, 1974, pp.4-13. It was now clear for all to see that the US could no longer pay fo the commodities it received through the sale of its own commo dities: credit-dollars could not be backed by US commodities Confidence in the dollar immediately plummeted, leading to flood of speculation against it (rising from the already high rat of $14bn between April and June 1971 to the phenomenal rat of $35bn over the next three months).[13] The capitalist worl was plunged into a monetary crisis. In August 1971 the U state was forced to end the dollar's convertibility into gold an other reserve currencies. The Gold Exchange system—th particular form which the monetary system had taken since 194 —had collapsed. The contradictions of growing inter-imperialis rivalry within the framework of increasing anti-imperialist an working class struggle had finally exploded the myth that th dollar was as good as gold.[14]

The measures which President Nixon announced in Augus 1971 aimed, not surprisingly, at resolving the crisis in th interests of US capital. The first step was to stop the speculativ run on the dollar by ending the dollar's convertibility into gol and other reserve currencies. While this move virtually destroye at a stroke the Gold Exchange system as it had existed, it by n means meant that the US accepted that the dollar could no function as means of payment in international exchange. On th

contrary, by prohibiting convertibility the US state made it impossible for holders of dollars to exchange them for gold, thereby strengthening the dollar in its function as means of payment. What this move showed, though, was that *without formal support* the dollar was incapable of functioning effectively as means of payment. Secondly, the measures were aimed at turning the trade deficit into a surplus and at reducing the deficit on the balance of payments. In this way, too, the dollar would be strengthened internationally. To this end the exchange rate of the dollar was allowed to float, effectively devaluing it in relation to other currencies (thereby rendering US commodities more competitive on world markets); a 10% cut was announced in foreign economic (non-military) aid; a 10% surcharge was introduced on all dutiable imports mainly manufactured goods; and tax concessions were granted on exports. Finally, measures were announced such as tax concessions for investment in new machinery and equipment of US origin, which tended to promote a rise in the organic composition of US capital. These measures, it was hoped, would promote monopoly conditions in the US and encourage rationalisation of production, thereby rendering US commodities more competitive internationally (Robinson, 1974).

Thus all of these measures (most of which were included in the Smithsonian Agreement signed in December 1971 by all the major capitalist powers) aimed not only at strengthening the US economy, but also at strengthening the dollar in its means of payment function. Hence, while the collapse of the Gold Exchange system represented a clear defeat for the US, what the August and December measures represented was an equally clear sign that the US intended to struggle to regain her position of supremacy over her capitalist rivals.[15] However, while the terms of the Smithsonian Agreement showed that her major rivals acknowledged her as the single most powerful capitalist state in the world, it was equally true—indeed, the fundamental laws of motion of capitalism demanded that it be true—that her rivals would not cease to challenge her claim to dictate the conditions under which accumulation occured on a world scale. The stage was set for an extended period of major inter-capitalist rivalry among the leading powers, a rivalry that was to manifest itself at the monetary level as a continuation of the conflict between the dollar and gold.

The Current Monetary Crisis

The economic war declared in 1971 between the US on the one hand and the other major capitalist powers on the other has raged unabated to the present and is likely to continue for some time yet. The form the struggle initially took was determined by the problem of the US balance of payments deficit within the international context of the struggle between capital and labour and between imperialist and anti-imperialist forces. It was in the

interests of all (capitalist and imperialist) participants that the U deficit be reduced, since if the US went bankrupt the repercus: ions would be felt throughout the capitalist world and woul pose a serious threat for the future of capitalism in general. Th question which faced the participants then was not: should th US deficit be reduced? (all were agreed on that) The questio was: *how* should it be reduced? It was around this question tha the participants were divided and the war raged.

Central to this question was the issue of the devaluation c the dollar. A dollar devaluation could of course immediatel remove the trade deficit and reduce the payments deficit. But th form this devaluation should take was a matter of great concer to the warring parties, since the different ways in which a doll: devaluation could be carried out would have very differer implications for the parties involved. What was essentially at issu here—and it was around this point that the whole conflict turne —was the nature of the relationship between the dollar and gold.

The dollar devaluation could be achieved either through a increase in the gold price of the dollar, or, alternatively, throug a revaluation of non-dollar currencies while maintaining the gol price of the dollar. US capital favoured the latter approach sinc it would both reduce the deficit, by making US commoditi more competitive than those of its rivals on world markets, an also devalue the gold and currency reserves held by non-doll: countries. This form of devaluation would thus resolve the U payments problem by weakening her major rivals. Not surprisin ly, these powers resisted the US proposals. They favoured an i crease in the gold price of the dollar as the means to resolve th crisis. This approach would further their interests in that it woul mean the further demise of the dollar in relation to gold an consequently, a diminution of US international supremacy. Th the inter-imperialist struggle manifested itself, *inter alia*, as struggle between the dollar and gold for monetary supremacy.

This fundamental conflict of interests persisted througho the first half of the 1970s and was responsible for the continu tion of the crisis over this period, with neither side gaining a cle ascendancy over the other. In February and March 1973 th monetary system suffered a major upheaval following publicatic of the US trade figures for 1972. (The trade deficit had increase from $2.7bn in 1971 to $6.9bn in 1972.) Companies, people ar Governments holding dollars desperately tried to get rid of the in return for stronger currencies, and as a result the months February and March 1973 saw even more intense speculatic than July to September 1971. On one day alone, 1st March, We Germany had to absorb $2.7bn and other West Europe countries a futher $1bn (Robinson, 1974, p. 407). As a resu most Western European countries were forced to float the currencies against the dollar, effectively revaluing them in ord to slow down the rate at which they were being swamped b dollars. Thus the first panic selling of dollars to occur in the pos

'71 period forced the European countries to play into the hands of the US. But the US did not have things all its own way either. Under continued pressure it was forced into a devaluation of the dollar against gold, and consequently, the official dollar-price of gold rose from $35 to $42.22 per ounce (*Financial Mail*, 13.8.76).

It was plain that the uncertainties that prevailed in the relations between currencies were proving highly damaging to the smooth functioning of exchange and, consequently, to the con ditions for the accumulation of capital on a world scale. Yet at the same time the problem could not be solved simply by tinkering with the exchange system, since the root of the problem lay in the organisation of capitalist production on a world scale and in reconciling the conflicting interests of national capitals. But so long as these fundamental problems remain unresolved all that could be done was to tinker with the exchange system so as to provide at least a degree of coherence and stability in an unstable world. In 1976 the Articles of Agreement of the IMF were amended to provide a basis for a new form of exchange system and, consequently, the struggle between the dollar and gold entered a new phase.

The most striking aspect of the new system was that it *seemed* to have eliminated gold altogether. The amended Articles of Agreement abolished the newly-instituted official gold price of $42.22 an ounce and ended the gold quota payments to the IMF, while the Fund itself was authorised to dispose of the remainder of its gold holdings (*Financial Mail*, 13.8.76). While these amendments undoubtedly heralded a change in gold's monetary role, they by no means meant that gold was being eliminated from the system. In the first place, the amendments did not alter the fact that gold remains an officially recognised component of international monetary reserves; and, secondly, the amendments gave the IMF and especially the central banks *far greater freedom* to deal in gold at the free market price. For instance, abolition of the official price has meant central bankers are now free to buy and sell gold on the open market and to use gold in transactions among themselves. Furthermore, central banks are now free to exchange their currencies for a portion of the IMF gold stock, thereby enabling them to increase their own gold holdings, while equally the IMF is for the first time also free to accept at market-related prices payments in gold (instead of SDRs or currencies) from a member country. The effect of these measures was to release gold from many of the restrictions which had previously prevented it from functioning effectively as international means of payment in exchange.[16]

But the other aspect of these measures was that, by allowing the central banks and the IMF to deal in gold on the free market, they gave the US the means to suppress the 'free' gold price. Thus what the new measures meant was that while the US had been forced to abandon altogether the position of the official gold price, that did not mean that the US had given up the struggle

against gold—rather, it meant that, in its retreat, the US wa adopting a new strategy. In order for gold to function effectivel as international means of payment its price had to rise to a leve where it could express the values of commodities in general—i.e it had to 'find its own price' in relation to other commodities What US capital sought to do was to continue to try to preven the price of gold from rising to that level, but instead of achievin this by fixing the price of gold, it was now hoped that the threa of flooding the market would achieve this end. If this strateg succeeded and gold proved to be unacceptable as a means of pay ment in international transactions, the dollar would once again b 'called upon' to replace gold. In practice what the US treasury di was to use all the means at its disposal to keep the gold pric relatively low on the free market. The US is still the world' largest holder of gold stocks and the fact that the IMF has bee committed to dispose of its substantial gold stocks has meant tha the 'free' market for gold has been continuously subjected to th threat of being flooded. This strategy not only succeeded i keeping the price of gold relatively low between 1976 and 1978 it also produced major fluctuations in the gold price. Both o these conditions hampered gold's ability to function effectivel as the basis of international exchange transactions.[17]

The amendments to the IMF Articles of Agreement wer thus important for two reasons. First, they represented a relativ defeat for the US in her struggle against gold. The US had bee forced not only to abandon the arbitrarily low official gold pric which she had imposed on the world in 1944, but had also bee forced to abandon the whole concept of a fixed price of gol The 1976 Amendments thus swept the remnants of the Gold E change system out of the monetary arena. Secondly, although th Amendments ushered in a new form of monetary system, withi this new system the 'traditional' struggle between gold and th dollar over the means of payment function raged unabated. Th main difference was that in 1976 the dollar was in a substantiall weaker position than it had been in 1944.

The past four years have produced striking confirmation c that weakness—and nowhere more so than in relation to gol Although initially US Treasury and IMF gold auctions (and th constant threat of further auctions) had a limited degree c success in preventing the dollar price for gold from escalating to rapidly, by August 1978 (when gold crossed the $200 an ounc mark) it was clear that the drift towards establishing a radicall new level in the dollar price for gold could no longer be con tained. The rapid upward movement of the gold price from the on (in mid-1979 it went through the $300 mark) culminated i January 1980 at the phenomenal level of $850 per ounce. Afte that the price fell somewhat to just under S500 an ounce befo rising again to current levels of around $650 an ounce. What i happening of course is that, freed from its previous restriction and accompanied by the failure of the US economy to rise cor

vincingly out of the trough of recession, gold is now rising to a level where it can give expression to the values of commodities in general—i.e. where it can function more effectively as the basis of the system of international exchange. Although obviously gold, like any other commodity under capitalism, will never be free of price manipulation (which helps explain the recent wild fluctuations in the price), the fact remains that the removal of institutional impediments carried out under the new form of the monetary system has enabled a more realistic price for the metal to emerge—and one which at present is over 225% higher than the 1976 level and 1700% higher than the old official price! The more realistic price in its turn substantially enhances the position of gold in relation to the dollar, enabling it increasingly to reassert its position in the monetary system.

The Future of Gold

The question which faces us now is: what role will gold come to play in the monetary system in the future? That question of course cannot be answered *precisely* without an assessment of the changing relations among the major capitalist powers—without an analysis of the present and future conditions of inter-imperialist rivalry and of the development of class and national struggles throughout the world. While such an analysis clearly falls beyond the scope of this article, what can be done here is to isolate certain tendencies in the development of the exchange system under conditions of advanced monopoly capitalism and to make some remarks regarding their future course.

The first is that, despite the views of some economists like Jaques Rueff,[18] it is virtually impossible for international capital to countenance a return to the Gold Standard system of the 19th century. Under conditions of advanced monopoly capitalism and the rapid international circulation of commodities which that system demands, the physical limitations and rigidities of a gold standard system would prove hopelessly inadequate. Secondly, however, it seems in terms of the analysis put forward here equally impossible that gold could be squeezed out of the system altogether. This means that, while some system incorporating gold as its basis must be devised, gold can not function alone in that system.[19]

The two major possibilities which present themselves are: on the one hand a vast extension of the credit structure based on gold and, on the other, the evolution of new forms of money to supplement gold in its functions. These two possibilities are by no means mutually exclusive and, indeed, the monetary system as constituted at present incorporates aspects of both.

The major means both of credit extension and of supplementing gold in its present functions is the increasing international circulation of national currencies. The fact that a portion of a country's reserves may be held in particular currencies means that these currencies can act to extend the gold-based credit

system, functioning as means of payment—but only in lieu o actual payment. Similarly, particular currencies can, and dc function as international means of exchange. But, as we saw ir the case of the dollar, these currencies can not function as a *tota* substitute (nor even as the sole supplement) for the money commodity, since their effectiveness in international transaction is determined by the changing fortunes of the national economie from which they spring. Furthermore, other national capitals wil always resist (as we have seen) the international dominance o one particular currency since their own economic interests ther become subordinated to the requirements of the particula economy whose currency is internationally dominant. Despit these reservations, however, particular currencies remain ar important and viable means by which gold can be supplemente in its function as money, both by *taking over* the means of ex change function and by *supplementing* gold in its means of pay ment function.

The only alternative to a particular currency replacing gold a international money is for the capitalist world to evolve a form o money which is not tied to the fortunes of one particular nationa capital, but which is the product of the organised control of al the major capitalist powers together—that is, to develop a nev international reserve currency. The issue of Special Drawin Rights (SDRs) by the IMF is an expression of this phenomenon Introduced after five years of negotiations in July 1969, SDR were designed to be the first internationally managed reserv asset ever established and there can be no doubt that over th years ahead we can expect to see an extension in their usage ir international transactions. As early as 1972, in fact, the Secretar of the US Treasury, George Shultz, was proposing at the IMF tha SDRs should become 'the formal numeraire of the monetar system'. The critical question which remains to be answered however, is whether or not it is possible for SDRs or some inter nationally-managed equivalent, to replace gold completely?

Affirmative answers to that question tend invariably to focu on the present weaknesses of the gold-based system: Robinson for instance, has argued that there are 'several practical objections' to continuing on a gold-based system. We are told *inter alia*, that the capitalist world 'is not about to entrust' itsel to rely on South Africa and the Soviet Union as the major sources of the gold on which its monetary future depends, and that the US will not 'surrender' its dollar mastery to gold (Robinson 1974, pp. 432-3). These answers, however, all miss the point, since they all focus solely on the contradictions inherent in the 'metal barrier' of the gold-based system. But to establish that there are contradictions in the gold-based system does not in any way establish the viability of an alternative system. The viability of an alternative system can only be assessed on the basis of its relation to the fundamental laws of motion of capitalism. And the law of the uneven development of capitalism would tend to

rule out, for the foreseeable future at any rate, the establishment of a monetary system *based on* an internationally managed reserve currency. Although such international organisation may be possible, theoretically at any rate, under boom conditions, at the first sign of an international crisis of over-production such a system would be torn apart as particular capitals struggled with each other to secure access to restricted markets. Yet this argument does not rule out the very likely possibility that, as production becomes increasingly centralised on a world scale, conditions will be created for SDRs (or their equivalent) to play an increasingly important role in *supplementing* gold in its various functions in international exchange.[20]

Thus at a general level we can envisage a continuation (over the next decade at least) of the struggles between competing capitalist powers over the form of monetary system which must be evolved now that the dollar's position has been weakened. The form most likely to emerge over that period will be a tripartite system based on the *money-commodity gold*, but increasingly supplemented by *an internationally managed currency*, such as SDRs and also by *national currencies*, predominantly the dollar and possibly a common European currency. These different forms of money would all fulfil the functions of money as means of payment and means of exchange, though it is only the money commodity which, as store value, can function as *real* means of payment—i.e. not as a form of credit but as actual payment. During periods of capitalist expansion on a world scale, we can expect to see a diminution of gold's role in the system, as the means of payment function (as opposed to the credit function) recedes into the background; during those periods when international capitalism is experiencing a recession (such as we have at the moment), we can expect an extension of gold's role in the system as the means of payment function reasserts itself. But what is certain is that this system is no real solution at all, since ultimately it is only a manifestation of the present rivalry between the major capitalist powers.

As the countries of Europe and Japan continue to strengthen themselves economically in relation to the US, so the competitive struggles between these capitalist giants must intensify, bringing with them major upheavals in the sphere of exchange. The struggle between the European currencies, the Japanese yen and the US dollar is far from over. So long as it lasts—and there is at the moment no reason why it should not last—gold will continue to play a key role in the monetary system.

Footnotes

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1 'In so far as actual payments have to be made, money does not serve as a circulating medium, as a mere transient agent

in the interchange of products, but as the individual incarna tion of social labour, as the independent form of existence o exchange-value, as the universal commodity. This contradic tion comes to a head in those phases of industrial and com mercial crises which are known as monetary crises. Such crisis occurs only where the ever-lengthening chain c payments, and an artificial system of settling them, has bee fully developed. Whenever there is a general and extensiv disturbance of this mechanism, no matter what its caus money becomes suddenly and immediately transformec from its merely ideal shape of money of account, into har cash. Profane commodities (e.g. paper money, D.I.) can n longer replace it . . .In a crisis, the antithesis between com modities and their value-form, money, becomes heightene into an absolute contradiction.' (*Capital*, I, p. 137)

2 'But we may affirm this much, that just as true paper-mone takes its rise in the function of money as the circulatin medium, so money based upon credit takes root spontan ously in the function of money as the means of payment (*Capital*, I, p. 127)

3 It is not only in times of economic crises that this phenome occurs. Political crises which destroy 'confidence' in a part cular currency, immediately generate a demand for th general value-equivalent (for commodity-money). This wa the case in the period prior to the collapse of the South Vie namese regime when the propertied classes sought despe ately to acquire gold and to transport it out of the countr with them. But even in periods when there is no economic c political crisis the function of money as a means of paymer is apparent in (though not identical with) the phenomeno of hoarding—i.e. of accumulating large quantities of con modity-money. This practice exists even under conditions c advanced capitalism.

4 In the 19th century this distinction was more clearly evide in that the media of exchange were in the form of coi while credit-money was in the form of paper bank-notes.

5 Marx himself foresaw this eventuality: 'The entire history c modern industry shows that metal would indeed be require only for the balancing of international commerce, whenev its equilibrium is momentarily disturbed, *if only domest production were organised*.' (*Capital*, III, p. 504, m emphasis)

6 Whereas between the 16th and 18th centuries the averag world gold production had been 0.37 million ounces, by th 19th century this had risen to 3.72 million ounces. (M. I Graham, 1964)

7 Between 1900 and 1960 world average annual gold outpu was 23.85 million ounces, which was almost seven times th average level during the 19th century. (M. R. Graham, 196 Chapter I)

8 In 1948, for instance, the US accounted for 55% of th industrial output of the capitalist world and 33% of i exports (Lysandrou, p. 10)

9 The US at this time held $25bn worth of gold out of tot world stocks in monetary reserve of $32bn. If a price high

than that acceptable to the US were set, the US could easily smash it simply by selling gold from her stock at a lower price. As the Financial Mail has remarked, the golden rule at Bretton Woods was that whoever had the gold made the rules. (*Financial Mail*, 13.8.76, a special survey of Gold, p. 7)

10 As late as the period 1965-7 the US trade surplus stood at $8.5bn; during that period, however, long-term capital transfers abroad, foreign military spending and government grants in aid and remittances totalled $10.8bn, resulting in an overall balance of payments deficit of $2.3bn. (Robinson, 1974, p. 404)

11 'The expenditure of enormous amounts of capital to finance the war in Vietnam, to maintain a constantly expanding military establishment, to finance the counter-revolutionary relay stations around the world, and to buy up the property of capitalist enterprises in foreign countries have all resulted finally in holding back steadily modernisation in some important industries. In these branches (steel, naval construction, electrical appliances, and even automobile production in part), the US's main competitors now have the most advanced technology.' (E. Mandel, 1973, p. 83)

12 Hourly wages of manufacturing workers rose an average 6% per year in the period 1965-70, compared with 3.7% in 1960-65; productivity in the manufacturing sector grew only half as fast in the period 1965-70 as it had done in 1960-65. (*Monthly Labour Review*, August 1971, p. 5)

13 Speculation of this kind—the ability of holders of a particular currency to divest themselves of that currency rapidly—was made markedly easier by the 1958 agreement, which allowed a number of particular currencies to circulate internationally. Some writers have mistakenly regarded the speculative run on the dollar as the *primary cause* of the 1971 crisis. However, the Bank of Canada's annual report summarised the situation correctly: 'At the core of the international monetary problem was a vast deterioration in the international trade position of the US and continued large exports of long-term capital. This disequilibrium has been growing rapidly for several years. It was accompanied by large flows of short-term capital generated by international differences in interest rates. As the size of the US deficit grew and confidence in the existing structure of exchange eroded, these short-term capital movements were greatly augmented by flows of a speculative character.' (cited in Robinson, 1974, p. 414)

14 Perhaps it is worthwhile recalling here Marx's own words written over 100 years ago: 'With the development of the credit system, capitalist production continuously strives to overcome the metal barrier which is simultaneously a material and imaginative barrier of wealth and its movement, *but again and again it breaks its back on the barrier*'. (*Capital*, III, p. 561, my emphasis)

15 That the US was declaring a state of economic war on her competitors was evident in President Nixon's demand 'for the major nations to compete as equals. There is no longer any need for the US to compete with one hand tied behind

her back.' The US press at the time abounded with chauvin istic outbursts. (See Robinson, 1974, p. 417)

16 In the words of the Governor of the South African Reserv Bank: 'Far from being a step towards the phasing out o gold, it (the amended Articles of Agreement) clearly has th effect of giving gold an increased and more meaningful mone tary role than it has had for some time.' (*Financial Mai* 13.8.76, p. 17)

17 It is of course the declared aim of US policy to establish tha end. According to the Deputy Assistant Secretary for Inte national Monetary Affairs at the US Treasury: 'We ar firmly convinced that gold does not make a satisfactory bas for the international monetary system. Thus we feel that th monetary role of gold should be phased out.' (*Financial Mai* 13.8.76, p. 17)

18 Rueff was particularly influential on the governments of d Gaulle and Pompidou, both of which exhibited strong ten dencies to hoard gold.

19 In addition to the conditions already cited which increase th pressures to reduce gold's role in the monetary system, ther is of course also the problem of the cost which the gold based system entails for capitalism. On this point Mar wrote: 'The entire amount of labour power and social mean of production expended in the annual production of gol and silver intended as instruments of circulation (i.e. a money—D.I.) constitutes a bulky item of the faux frais o the capitalist mode of production, of the production of com modities in general. It is an equivalent abstraction from soci utilisation of as many additional means of production an consumption as possible, i.e. of real wealth. To the exten that the costs of this expensive machinery of circulation ar decreased, the given degree of its extension remaining co stant, the productive power of social labour is *eo ipso* i creased. *Hence so far as the expediences developing with th credit system have this effect they increase capitalist wealt directly*.' (*Capital*, II, part II, Ch. 17 section 2, p. 350, m emphasis)

20 On this point Mandel has argued that: 'in the absence of a overall solution, the most the imperialist powers can hope fo is a gradual extension of the system of Special Drawin Rights (paper gold, distributed according to the notion tha the richest countries should get the lion's share). Moreove the imperialist countries of the Common Market (reinforce by Great Britain which has consistently aligned itself wit the Six during the monetary crisis) will seek to create a com mon currency which, all things being equal, could be adde to the dollar as a international reserve currency, aimed a supplanting the dollar. But this is not for tomorrow or th day after!' (pp. 94-5)

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